

FRVO

FRVO N/A

|      |                 |                             |                                    |                       |
|------|-----------------|-----------------------------|------------------------------------|-----------------------|
| Hold | \$25.45 ▼ 1.57% | 12M Price Target<br>\$34.00 | 52-Week Range<br>\$23.10 – \$42.65 | Market Cap<br>\$7.50B |
|------|-----------------|-----------------------------|------------------------------------|-----------------------|

FRVO: Geothermal Darling Cooling After Nvidia Pop Fades

WHAT HAPPENED

- FRVO is drifting lower again (-1.6% today, and notice the volume — only 246K shares vs the usual 2.5M+, meaning this is a quiet drift, not real selling pressure). The stock spiked to \$27+ last week on the Nvidia geothermal digital twin partnership, but that hype is bleeding out. Barchart put out a "positive attributes but very risky" piece yesterday, which is basically Wall Street shorthand for "great story, unproven economics."
- The stock is sitting at just 12% of its 52-week range (\$23-\$42) — meaning it's much closer to its lows than its highs. That's usually either a screaming buy setup or a warning that the story is breaking. Given the low volume, market is saying "we don't know yet."

WHY IT MATTERS

Here's what the Nvidia partnership actually means: FRVO is trying to prove that enhanced geothermal systems (EGS — basically fracking-style techniques applied to hot rock instead of oil) can be predictable enough to power AI data centers 24/7. That's a HUGE deal because hyperscalers (Microsoft, Google, Amazon) are desperate for firm, clean baseload power and are literally signing nuclear deals at premium prices. If FRVO's Utah project delivers that 33 MW on schedule this fall, the narrative flips from "science project" to "the geothermal company hyperscalers pay up for." The reason the stock isn't running despite great news? The IRA (Inflation Reduction Act) clean energy tax credits — which are the economic backbone of every geothermal project — are under active political threat, and investors are pricing in that uncertainty.

POLICY & POLITICAL WATCH

The single biggest swing factor for FRVO right now is the fate of the 45Y and 48E clean electricity tax credits under the IRA — the current administration has been chipping away at them, and any reconciliation bill that trims or phases them out early would gut geothermal project economics (these credits can be worth 30-50% of project cost). On the flip side, geothermal has weirdly become the ONE clean energy source with bipartisan support — Republican senators from Utah, Nevada, and Wyoming want it protected because the jobs are in their states, and it looks more like oil & gas drilling than "woke" solar. Also watch the FERC interconnection queue reforms and any DOE loan guarantee announcements — Fervo is a prime candidate for federal loan support similar to what nuclear startups have gotten.

IS IT EXPENSIVE?

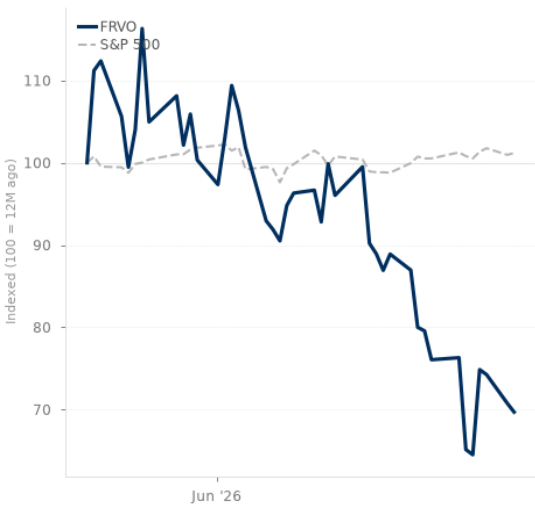
Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$25.45  |
| 12M Price Target    | \$34.00  |
| Upside / (Downside) | +33.6%   |
| Market Cap          | \$7.50B  |
| FY2026E Revenue     | \$285M   |
| FY2027E Revenue     | \$520M   |
| FY2026E EPS         | (\$1.85) |
| FY2027E EPS         | (\$1.20) |
| Fwd P/E             | N/M      |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$30.00   | \$26.00   | \$22.00   |
| 6 Months  | \$38.00   | \$30.00   | \$20.00   |
| 1 Year    | \$48.00   | \$34.00   | \$18.00   |
| 2 Years   | \$65.00   | \$42.00   | \$15.00   |
| 5 Years   | \$110.00  | \$65.00   | \$12.00   |
| 10 Years  | \$200.00  | \$100.00  | \$8.00    |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Energy (+4.35% over 5 days) and Utilities are both catching a bid as the market wakes up to the AI power crunch — every data center forecast keeps getting revised higher, and there simply isn't enough electricity being built. Financials are ripping on the steepening yield curve.

**COOLING OFF:** Industrials and Materials are lagging, which usually signals the market is worried about slowing capex outside of the AI theme.

**ROTATION WATCH:** Money is rotating from pure tech (Nasdaq slowing) into the "picks and shovels" of AI infrastructure — power generators, grid equipment, cooling systems. FRVO sits right in this sweet spot but hasn't caught the bid yet because it's pre-revenue at scale.

**RELATED PLAY:** If you like the AI power thesis but want less binary risk, look at nuclear names (VST, CEG), grid equipment makers (GEV, ETN), or a utility ETF (XLU) — they benefit from the same tailwind with actual profits today.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): Nuclear + gas fleet directly signing data center deals at premium prices — the exact narrative FRVO wants to own.
- CEG (Constellation Energy): The Microsoft Three Mile Island deal set the template for what firm clean power is worth to hyperscalers.

**FRVO CONTEXT:** FRVO is badly lagging its "AI power" peers — VST and CEG are up huge while FRVO sits at the bottom of its range. That's the market saying "we believe the AI power thesis, we just don't yet believe geothermal at scale." Which is either your opportunity or your warning depending on how Cape Station executes.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

**Position Size:** 2-3% of portfolio

**Entry Points:** \$23-24 near 52-week lows

**Time Horizon:** 18-36 months

**Thesis Invalidation:** Utah project delays past Q4 2026 or loss of hyperscaler PPA

**Hedging:** Pair with a utility ETF (XLU) or short a pure-play solar name